Trade Your Way to Financial Freedom (Tharp) — Fill-in-the-Blank Quiz

Name: _____ Date: _____ Score: ____ / 30 questions (one underline = one missing word or short phrase)

Chapter 1 – The Legend of the Holy Grail

1. Tharp's three keys to success are _____, _____, and discipline.

2. In Fig. 1-1 the usual pie gives psychology about ____ percent, position sizing ____ percent, and system development ____ percent.

3. Ed Seykota's late-1970s college course spent ___ of its ____ weeks getting people to accept _____.

Chapter 2 – Judgmental Biases

4. The _____ bias is the illusion of control; the odds of winning a lottery are about 1 in ____ million.

5. In Ralph Vince's game, only ___ of 40 Ph.D.s made money; betting ____ percent of equity would have grown $1,000 to about $_____.

Chapter 3 – Setting Objectives

6. Jack Schwager calls Tom Basso Mr. _____; Basso expects a worst-case drawdown of ____ percent.

7. Tharp says to spend at least ____ percent of system-development time on your _____.

Chapter 4 – The 12 Steps

8. Step 5 collects at least ____ to _____ sample market moves; step ____ optimizes with position sizing.

9. In the Step 9 live cattle example the system was right ___ time in ___, yet the net gain was over _____ times the total losses.

Chapter 5 – Trading Concepts

10. Basso says markets trend only ____ to ____ percent of the time, yet trend following never misses the _____ move.

11. In Kevin Thomas's _____ spread you are long 1 Sep 1996, short ___ Dec 1996, and long 1 Mar 1997.

12. Ray Kelly's arbitrage averaged ____ to ____ percent returns from 1987 to early 1994 with only _____ losing month.

Chapter 6 – Expectancy and R Multiples

13. The first four of the six keys make up _____; the last two make up _____.

14. In marble game 1 (60 blue, 40 black) expectancy is ____ cents; game 2 wins only ____ percent of the time but has an expectancy of ____ cents.

15. A system that is right 90 percent of the time, with average win $275 and average loss $2,700, has an expectation of _____.

16. In Fig. 6-1 the entry was at 2,511 with a stop of _____ points (3 x ATR); the 558-point profit was a _____ R multiple.

Chapter 7 – Setups

17. A setup is about ____ percent (or less) of a system; the four phases of entry are market selection, market direction, setups, and market _____.

18. CANSLIM: C needs current earnings up ____ percent, A needs about ____ percent compounded over 5 years, and L needs a rating above ____.

19. Kaufman's efficiency ratio runs from 1 (no _____) to 0; Tharp suggests requiring a value above _____ before taking an entry.

20. The Foolish Four puts ____ percent in the _____ best-yielding Dow stock and 20 percent in each of the next three.

Chapter 8 – Entry

21. The random-entry system used a stop of _____ times volatility, a ___ percent risk model, and had reliability of ____ percent.

22. The Turtles first entered on ____-day breakouts, later moving up to ____-day breakouts.

Chapter 9 – Protective Stops

23. In the pound study, ___ of 24 winning trades had a maximum adverse excursion above 1 ATR; the mean for losing trades was _____ ATR.

24. A noise stop is a 10-day average of the ATR times a constant between _____ and _____; the dev-stop was coined by Cynthia _____.

Chapters 10–11 – Exits, Opportunity and Cost

25. Scaling out of a multi-unit position is called reverse _____: you hold the biggest size when taking your biggest _____.

26. Trader 1 (long-term, big R) wins ____ percent of trades with an average gain about ____ times the average loss, for an expectancy of $_____ per dollar risked.

Chapters 12–13 – Position Sizing and Conclusion

27. _____ strategies raise bet size after losses; _____ strategies raise it as equity grows, and only the latter work.

28. A ____ percent drawdown needs a 100 percent gain to recover; a 75 percent drawdown needs a _____ percent gain.

29. In the Dow-30 test the 100-share baseline made $_____, while the 0.5 percent volatility model made $_____.

30. Tharp's daily debriefing asks one question: Did I follow my _____? Beyond that, you cannot trade the markets, only your _____ about them.